nick@warwickriskmanagement.com

From: Nicola Johnson <nicola.johnson21@gmail.com>
Sent: 26 November 2018 17:27
To: Nick Stoop
Subject: Fwd: Payne Hicks Beach ('PHB') – Charging Order [W-EU.FID1281191]

I notice that Peter refers to the PHB charge on the house. I'm forwarding you advice I received from Andrew Chesser about this. I decided not to object to the Charging Order as I was advised that it wouldn't affect the overall outcome. See email.

xxx
---------- Forwarded message ---------
From: **Chesser, Andrew** <Andrew.Chesser@withersworldwide.com>
Date: Tue, Aug 14, 2018 at 3:07 PM
Subject: Payne Hicks Beach ('PHB') – Charging Order [W-EU.FID1281191]
To: Nicola Johnson <nicola.johnson21@gmail.com>
Cc: Copson, James <James.Copson@withersworldwide.com>, Handel, Richard <Richard.Handel@withersworldwide.com>

Dear Nicola

As you know, PHB have obtained an interim Charging Order over Ziad's interest in Warwick House for £134,782 in respect of their fees. I am attaching the interim Charging Order and the Application, which has been sent to us by PHB. PHB have applied to the Land Registry to protect the Charging Order by registering it against the Property. The Court has fixed a hearing on 1 October when it will decide whether the Charging Order should be made final.

The Land Registry has served notice upon Warwick Estates Limited (as registered proprietor) giving Warwick Estates until 15 August to object to the registration of the interim Charging Order at the Land Registry.

The question is whether you should object to the registration of the interim Charging Order at the Land Registry and/or to the Charging Order being made final at the hearing on 1 October 2018.

In our view, there is little point objecting to the registration of the interim Charging Order at the Land Registry. The Land Registry is likely to protect that interim Charging Order by the entry of a 'restriction' on the title. If the Charging Order is not made final, the registration will be cancelled.

You may also decide not to object to the Charging Order being made final on the basis that it is unlikely to affect the overall outcome. I set out a summary below so that you can see the position. You will recall that the September 2016 order provides that the property be sold and that, after payment of Barclays, sale costs and a few minor sums, 50% of the proceeds go to you. Various sums for your legal fees and other amounts then come off Ziad's share.

Withers' outstanding fees are currently £1,685,670.12. As I said in my email of 17 May, there was interest of £312,463.23 up to that date. There is further interest due of c£16.5k since then. All of our fees will need to be paid when the Property is sold (assuming that you remain unable to pay them before that happens). You have the benefit of Charging Orders over Ziad's interest in the Property to protect payment of some of our fees (£748,633.53 plus interest). You also have a Charging Order over Ziad's interest protecting your P*restation Compensatoire* for £3,546,717.69.

If PHB's Charging Order is made final, the prior Charging Orders you have obtained over Ziad's interest in respect of costs and the P*restation Compensatoire* (a total of £4,295,351.22 plus interest at 8% per annum) will take priority over PHB's charging order. This means that you are entitled to be paid that sum out of Ziad's share of the net proceeds before PHB's fees are paid out of that share. However, as matters stand, PHB's charge would take priority over any additional sums owed to you by Ziad enforceable against his net share. The issue is whether this matters. In our

view, it is unlikely to do so because it seems unlikely that Ziad's share of the net proceeds of sale will exceed the sum of £4.295 million (and interest).

The Property has been on the market for some time with a guide price of £14.95 million. Offers at that level have not been received and it is likely to sell at a lower price. We do not know the precise amount required to redeem Barclays charge, but we understand this is likely to exceed £6 million (Charles Russell are advising you and negotiating with Barclays to try to reduce the redemption figure). Given the fact that the maximum sale price is likely to be less than £14 million, the net proceeds of sale will be less than £8 million (so that your share and Ziad's share of the net proceeds will each be less than £4 million). PHB's charge is therefore likely to be worthless in the sense that your prior claims will exhaust Ziad's share of the net proceeds of sale.

We can, if you instruct us to do so, intervene in PHB's application and try to object to the Charging Order being made final on the basis that the Court made a prior order as to how the net proceeds be applied, and required our fees to be paid from Ziad's share of the net proceeds (to the extent that it is sufficient to pay them). However, if Ziad's share of the net proceeds is less than £4 million, there is little to be gained in incurring further legal fees to secure priority over PHB in respect of the balance of your legal fees. It may be that all we should do is put PHB on notice of the overall position (which they are anyway). It follows that the balance of your legal fees (i.e. the amounts not subject to charging orders) will need to be paid from funds you are entitled to.

Given that Charles Russell are advising you in connection with Barclays charge, you may wish to discuss this email with them. Indeed, I would appreciate an update on the Barclays' position. I can see that certainty on that is important for you to be able to assess the whole picture when it comes to considering offers that are made and the position you will be left with after payment of all sums that need to be deducted from the sale price.

In summary, we will take no action in terms of objecting to the Land Registry but you should consider and we should discuss if we do or say anything further on the PHB charging order application. In any event, I look forward to an update on Barclays and any interest in the property.

I look forward to hearing from you.

Regards

Andrew

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